

Santosh Jain Vertex Test

Account: — | Principal: N/A | Property: Not specified

PLATFORM RECOMMENDATION

Do Not Proceed

COMPLIANCE SCORE

20%

Non-Compliant

LITIGATION EXPOSURE

71%

High

GROUND'S RAISED

82

23 with precedent

COMPLIANCE RULES

46

6 passing

FATAL ISSUES

2

ABSOLUTE BARS

0

CURABLE DEFECTS

0

COVERAGE ALERTS

71

Judgment Coverage Alerts

NO PRECEDENT — SARFAESI_EXEMPTION_AGRICULTURAL_LAND

No precedent of any kind found for 'SARFAESI_EXEMPTION_AGRICULTURAL_LAND'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

UNVERIFIED SIMILARITY — AMOUNT_DISPUTE

No verified precedent for 'AMOUNT_DISPUTE'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

NO PRECEDENT — AUCTION_DURING_STAY

No precedent of any kind found for 'AUCTION_DURING_STAY'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

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NO PRECEDENT — NPA_PREMATURE

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NO PRECEDENT — RIGHT_OF_REDEMPTION

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NO PRECEDENT — NPA_PREMATURE

No precedent of any kind found for 'NPA_PREMATURE'. Neutral judicial score (0.40) applied. Manual legal research required.

UNVERIFIED SIMILARITY — THIRD_PARTY_ATS

No verified precedent for 'THIRD_PARTY_ATS'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

NO PRECEDENT — PENDING_SA_CONCEALED

No precedent of any kind found for 'PENDING_SA_CONCEALED'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — POSSESSION_DEFECT

No precedent of any kind found for 'POSSESSION_DEFECT'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — POSSESSION_DEFECT

No precedent of any kind found for 'POSSESSION_DEFECT'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — AUCTION_DURING_STAY

No precedent of any kind found for 'AUCTION_DURING_STAY'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — AUCTION_DURING_STAY

No precedent of any kind found for 'AUCTION_DURING_STAY'. Neutral judicial score (0.40) applied. Manual legal research required.

UNVERIFIED SIMILARITY — SERVICE_DEFECT

No verified precedent for 'SERVICE_DEFECT'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

UNVERIFIED SIMILARITY — SERVICE_DEFECT

No verified precedent for 'SERVICE_DEFECT'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

UNVERIFIED SIMILARITY — AUCTION_GAP_DEFECT

No verified precedent for 'AUCTION_GAP_DEFECT'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

UNVERIFIED SIMILARITY — AUCTION_GAP_DEFECT

No verified precedent for 'AUCTION_GAP_DEFECT'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

UNVERIFIED SIMILARITY — SERVICE_DEFECT

No verified precedent for 'SERVICE_DEFECT'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

NO PRECEDENT — PENDING_SA_CONCEALED

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NO PRECEDENT — AUCTION_DURING_STAY

No precedent of any kind found for 'AUCTION_DURING_STAY'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — FUNDAMENTAL_PROCEDURAL_ERROR

No precedent of any kind found for 'FUNDAMENTAL_PROCEDURAL_ERROR'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — FRAUD_MISREPRESENTATION

No precedent of any kind found for 'FRAUD_MISREPRESENTATION'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — FUNDAMENTAL_PROCEDURAL_ERROR

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No precedent of any kind found for 'FUNDAMENTAL_PROCEDURAL_ERROR'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — PENDING_SA_CONCEALED

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NO PRECEDENT — AUCTION_DURING_STAY

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NO PRECEDENT — PENDING_SA_CONCEALED

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NO PRECEDENT — NPA_PREMATURE

No precedent of any kind found for 'NPA_PREMATURE'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

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NO PRECEDENT — RIGHT_OF_REDEMPTION

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NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

UNVERIFIED SIMILARITY — AMOUNT_DISPUTE

No verified precedent for 'AMOUNT_DISPUTE'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

UNVERIFIED SIMILARITY — AMOUNT_DISPUTE

No verified precedent for 'AMOUNT_DISPUTE'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — SECOND_SA_FRESH_CAUSE

No precedent of any kind found for 'SECOND_SA_FRESH_CAUSE'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — PENDING_SA_CONCEALED

No precedent of any kind found for 'PENDING_SA_CONCEALED'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — AUCTION_DURING_STAY

No precedent of any kind found for 'AUCTION_DURING_STAY'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — NOTICE_FORMAT_DEFECT

No precedent of any kind found for 'NOTICE_FORMAT_DEFECT'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — PENDING_SA_CONCEALED

No precedent of any kind found for 'PENDING_SA_CONCEALED'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

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NO PRECEDENT — NPA_PREMATURE

No precedent of any kind found for 'NPA_PREMATURE'. Neutral judicial score (0.40) applied. Manual legal research required.

UNVERIFIED SIMILARITY — AUCTION_GAP_DEFECT

No verified precedent for 'AUCTION_GAP_DEFECT'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

NO PRECEDENT — AUCTION_PURCHASER

No precedent of any kind found for 'AUCTION_PURCHASER'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — SECOND_SA_FRESH_CAUSE

No precedent of any kind found for 'SECOND_SA_FRESH_CAUSE'. Neutral judicial score (0.40) applied. Manual legal research required.

UNVERIFIED SIMILARITY — SERVICE_DEFECT

No verified precedent for 'SERVICE_DEFECT'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

UNVERIFIED SIMILARITY — AUCTION_GAP_DEFECT

No verified precedent for 'AUCTION_GAP_DEFECT'. 1 potentially relevant judgment(s) found but factual conditions not verified. Review manually.

NO PRECEDENT — RIGHT_OF_REDEMPTION

No precedent of any kind found for 'RIGHT_OF_REDEMPTION'. Neutral judicial score (0.40) applied. Manual legal research required.

NO PRECEDENT — AUCTION_DURING_STAY

No precedent of any kind found for 'AUCTION_DURING_STAY'. Neutral judicial score (0.40) applied. Manual legal research required.

▲ Third Party SA — False

The Securitisation Application has been filed by a party who is **neither the borrower nor the guarantor**. Standard M1-M9 procedural analysis has been run on behalf of the bank. Module M10 (Third Party Rights) provides the primary legal framework for this applicant's claim. DRT will likely raise maintainability as a preliminary issue.

SA Prayer Clause — Measures Challenged

CONFIDENTIAL

Critical Red Flags

M3_AUCTION_NOTICE — Rule 8(6)(7) of Security Interest (Enforcement) Rules 2002 violated. The bank did not affix the auction/sale notice at a conspicuous part of the secured property before conducting the auction on 08/04/2022. The Supreme Court in Mathew Varghese v. M. Amritha Kumar (2014) 5 SCC 610 held that non-compliance with mandatory affixing requirement renders the sale null and void.

M8_NPA_CLASSIFICATION — Account classified NPA on 2019-03-31, only -1114 days after last payment. RBI requires 90-day window.

Compliance Module Results

M10_THIRD_PARTY (3/7 passing)

PASS	M10_C1 — Rule M10_C1 not applicable: precondition 'sa_applicant_type' is False.
PASS	M10_C2 — Rule M10_C2 not applicable: precondition 'sa_applicant_type' is False.
PASS	M10_C3 — Rule M10_C3 not applicable: precondition 'sa_applicant_type' is False.
UNKNOWNUnknown	M10_C4 — Precondition field 'sale_certificate_issued' not confirmed. Cannot evaluate M10_C4.
UNKNOWNUnknown	M10_C5 — Precondition field 'sale_certificate_issued' not confirmed. Cannot evaluate M10_C5.
UNKNOWNUnknown	M10_C6 — Precondition field 'previous_sa_filed' not confirmed. Cannot evaluate M10_C6.
UNKNOWNUnknown	M10_C7 — Precondition field 'sale_certificate_issued' not confirmed. Cannot evaluate M10_C7.

M1_DEMAND_NOTICE (1/8 passing)

PASS	M1_C1 — 60-day period from demand notice (2019-04-05) satisfied.
UNKNOWNUnknown	M1_C2 — Precondition field 'demand_notice_amount' not confirmed. Cannot evaluate M1_C2.
UNKNOWNUnknown	M1_C3 — Cannot evaluate M1_C3: required fact not confirmed. ('notice_service_mode' is not defined for expression 'notice_service_mode not in ['registered_post_ad','personal_service','substituted_service','email_if_agreed']')
UNKNOWNUnknown	M1_C4 — Cannot evaluate M1_C4: required fact not confirmed. ('notice_dispatch_proof_present' is not defined for expression 'notice_dispatch_proof_present == False')
UNKNOWNUnknown	M1_C5 — Precondition field 'notice_service_date' not confirmed. Cannot evaluate M1_C5.
UNKNOWNUnknown	M1_C6 — Cannot evaluate M1_C6: required fact not confirmed. ('notice_content_complete' is not defined for expression 'notice_content_complete == False')
UNKNOWNUnknown	M1_C7 — Precondition field 'notice_service_date' not confirmed. Cannot evaluate M1_C7.
UNKNOWNUnknown	M1_C8 — Precondition field 'authorized_officer_name' not confirmed. Cannot evaluate M1_C8.

M2_REPLY_COMPLIANCE (1/3 passing)

PASS	M2_C1 — Bank replied on [UNKNOWN].
UNKNOWNUnknown	M2_C2 — Cannot evaluate M2_C2: required fact not confirmed. ('reply_days_elapsed' is not defined for expression 'reply_days_elapsed > 15')
UNKNOWNUnknown	M2_C3 — Cannot evaluate M2_C3: required fact not confirmed. ('bank_reply_gives_reasons' is not defined for expression 'bank_reply_gives_reasons == False')

M3_AUCTION_GAP (0/7 passing)

UNKNOWNUnknown	M3_C1 — Precondition field 'asset_type' not confirmed. Cannot evaluate M3_C1.
UNKNOWNUnknown	M3_C2 — Cannot evaluate M3_C2: required fact not confirmed. ('newspaper_publication_done' is not defined for expression 'newspaper_publication_done == False')
UNKNOWNUnknown	M3_C3 — Precondition field 'sale_notice_date' not confirmed. Cannot evaluate M3_C3.
UNKNOWNUnknown	M3_C4 — Precondition field 'sale_notice_date' not confirmed. Cannot evaluate M3_C4.
FAIL Fatal	M3_C6 — Rule 8(6)(7) of Security Interest (Enforcement) Rules 2002 violated. The bank did not affix the auction/sale notice at a conspicuous part of the secured property before conducting the auction on 08/04/2022. The Supreme Court in Mathew Varghese v. M. Amritha Kumar (2014) 5 SCC 610 held that non-compliance with mandatory affixing requirement renders the sale null and void.
UNKNOWNUnknown	M3_C7 — Precondition field 'stay_was_operational_on_auction_date' not confirmed. Cannot evaluate M3_C7.
UNKNOWNUnknown	M3_C8 — Precondition field 'pending_sa_existed_at_auction_date' not confirmed. Cannot evaluate M3_C8.

M4_LIMITATION (1/4 passing)

PASS	M4_C1 — Rule passed.
UNKNOWNUnknown	M4_C2 — Cannot evaluate M4_C2: required fact not confirmed. ('measure_type' is not defined for expression 'measure_type == None')
UNKNOWNUnknown	M4_C3 — Cannot evaluate M4_C3: required fact not confirmed. (unsupported operand type(s) for -: 'datetime.date' and 'str')
UNKNOWNUnknown	M4_C5 — Precondition field 'challenges_auction' not confirmed. Cannot evaluate M4_C5.

M5_TENANCY (0/4 passing)

UNKNOWNUnknown	M5_C1 — Precondition field 'tenancy_claimed' not confirmed. Cannot evaluate M5_C1.
UNKNOWNUnknown	M5_C2 — Precondition field 'tenancy_claimed' not confirmed. Cannot evaluate M5_C2.
UNKNOWNUnknown	M5_C3 — Precondition field 'tenancy_claimed' not confirmed. Cannot evaluate M5_C3.
UNKNOWNUnknown	M5_C4 — Precondition field 'tenancy_claimed' not confirmed. Cannot evaluate M5_C4.

M6_VALUATION (0/4 passing)

UNKNOWNUnknown	M6_C1 — Precondition field 'valuation_report_present' not confirmed. Cannot evaluate M6_C1.
UNKNOWNUnknown	M6_C2 — Cannot evaluate M6_C2: required fact not confirmed. ('valuation_age_at_auction_days' is not defined for expression 'valuation_age_at_auction_days > 180')
UNKNOWNUnknown	M6_C3 — Cannot evaluate M6_C3: required fact not confirmed. ('reserve_price_vs_valuation_pct' is not defined for expression 'reserve_price_vs_valuation_pct < 75')
UNKNOWNUnknown	M6_C4 — Precondition field 'valuation_date' not confirmed. Cannot evaluate M6_C4.

M7_MULTIPARTY_NOTICE (0/2 passing)

UNKNOWNUnknown	M7_C1 — Cannot evaluate M7_C1: required fact not confirmed. ('borrowers_served_notice' is not defined for expression 'borrowers_served_notice < total_borrowers_in_loan')
UNKNOWNUnknown	M7_C2 — Cannot evaluate M7_C2: required fact not confirmed. ('guarantors_served_notice' is not defined for expression 'guarantors_served_notice < total_guarantors_in_loan')

M8_NPA_CLASSIFICATION (0/5 passing)**FAIL** Fatal**M8_C1** — Account classified NPA on 2019-03-31, only -1114 days after last payment. RBI requires 90-day window.**UNKNOWN**Unknown**M8_C2** — Precondition field 'restructuring_proposal_pending' not confirmed. Cannot evaluate M8_C2.**UNKNOWN**Unknown**M8_C3** — Cannot evaluate M8_C3: required fact not confirmed. ('classification_notice_given' is not defined for expression 'classification_notice_given == False')**UNKNOWN**Unknown**M8_C4** — Cannot evaluate M8_C4: required fact not confirmed. ('interest_application_correct' is not defined for expression 'interest_application_correct == False')**UNKNOWN**Unknown**M8_C6** — Precondition field 'account_standard_at_auction_date' not confirmed. Cannot evaluate M8_C6.**M9_MSME** (0/2 passing)**UNKNOWN**Unknown**M9_C1** — Precondition field 'msme_claimed_by_borrower' not confirmed. Cannot evaluate M9_C1.**UNKNOWN**Unknown**M9_C2** — Precondition field 'udyam_cert_in_bank_file' not confirmed. Cannot evaluate M9_C2.

Ground-by-Ground Analysis

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
SARFAESI_EXEMPTION_AGRICULTURAL_LAND SARFAESI_EXEMPTION_AGRICULTURAL_LAND	0%	40%	18% — Very Weak	Corpus statistics not yet available — judgment corpus not loaded.	NO_DATA	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
AMOUNT_DISPUTE AMOUNT_DISPUTE	0%	40%	18% — Very Weak	Verified: 1/2 (of 3) Full corpus: 1/2 (of 3)	LOW	1 judgment(s)
AUCTION_DURING_STAY AUCTION_DURING_STAY	0%	40%	18% — Very Weak	Verified: 0/2 (of 2) Full corpus: 0/2 (of 2)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
REPLY_NOT_GIVEN REPLY_NOT_GIVEN	0%	85%	38% — Weak	Verified: 4/5 (of 9) Full	MEDIUM	3 judgment(s)

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
				corpus: 4/5 (of 9)		
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
				Full corpus: 1/4 (of 5)		
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
THIRD_PARTY_ATS THIRD_PARTY_ATS	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	1 judgment(s)
PENDING_SA_CONCEALED PENDING_SA_CONCEALED	0%	0%	0% — Very Weak	Verified: 0/6 (of 6) Full corpus: 0/6 (of 6)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
POSSESSION_DEFECT POSSESSION_DEFECT	0%	28%	12% — Very Weak	Verified: 2/5 (of 7) Full corpus: 2/5 (of 7)	MEDIUM	0 judgment(s)
POSSESSION_DEFECT POSSESSION_DEFECT	0%	28%	12% — Very Weak	Verified: 2/5 (of 7) Full corpus: 2/5 (of 7)	MEDIUM	0 judgment(s)
AUCTION_DURING_STAY AUCTION_DURING_STAY	0%	40%	18% — Very Weak	Verified: 0/2 (of 2) Full corpus: 0/2 (of 2)	LOW	0 judgment(s)
AUCTION_DURING_STAY AUCTION_DURING_STAY	0%	40%	18% — Very Weak	Verified: 0/2 (of 2) Full corpus: 0/2 (of 2)	LOW	0 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
	0%	14%	6% — Very Weak		MEDIUM	

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
SERVICE_DEFECT SERVICE_DEFECT				Verified: 1/6 (of 7) Full corpus: 1/6 (of 7)		1 judgment(s)
SERVICE_DEFECT SERVICE_DEFECT	0%	14%	6% — Very Weak	Verified: 1/6 (of 7) Full corpus: 1/6 (of 7)	MEDIUM	1 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
AUCTION_GAP_DEFECT AUCTION_GAP_DEFECT	0%	40%	18% — Very Weak	Verified: 3/0 (of 3) Full corpus: 3/0 (of 3)	LOW	1 judgment(s)
AUCTION_GAP_DEFECT AUCTION_GAP_DEFECT	0%	40%	18% — Very Weak	Verified: 3/0 (of 3) Full corpus: 3/0 (of 3)	LOW	1 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
SERVICE_DEFECT SERVICE_DEFECT	0%	14%	6% — Very Weak	Verified: 1/6 (of 7) Full corpus: 1/6 (of 7)	MEDIUM	1 judgment(s)
PENDING_SA_CONCEALED PENDING_SA_CONCEALED	0%	0%	0% — Very Weak	Verified: 0/6 (of 6) Full corpus: 0/6 (of 6)	MEDIUM	0 judgment(s)
AUCTION_DURING_STAY AUCTION_DURING_STAY	0%	40%	18% — Very Weak	Verified: 0/2 (of 2) Full corpus: 0/2 (of 2)	LOW	0 judgment(s)

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
FUNDAMENTAL_PROCEDURAL_ERROR FUNDAMENTAL_PROCEDURAL_ERROR	0%	40%	18% — Very Weak	Corpus statistics not yet available — judgment corpus not loaded.	NO_DATA	0 judgment(s)
FRAUD_MISREPRESENTATION FRAUD_MISREPRESENTATION	0%	40%	18% — Very Weak	Corpus statistics not yet available — judgment corpus not loaded.	NO_DATA	0 judgment(s)
FUNDAMENTAL_PROCEDURAL_ERROR FUNDAMENTAL_PROCEDURAL_ERROR	0%	40%	18% — Very Weak	Corpus statistics not yet available — judgment corpus not loaded.	NO_DATA	0 judgment(s)
FRAUD_MISREPRESENTATION FRAUD_MISREPRESENTATION	0%	40%	18% — Very Weak	Corpus statistics not yet available — judgment corpus not loaded.	NO_DATA	0 judgment(s)
FUNDAMENTAL_PROCEDURAL_ERROR FUNDAMENTAL_PROCEDURAL_ERROR	0%	40%	18% — Very Weak	Corpus statistics not yet available — judgment corpus not loaded.	NO_DATA	0 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
PENDING_SA_CONCEALED PENDING_SA_CONCEALED	0%	0%	0% — Very Weak	Verified: 0/6 (of 6)	MEDIUM	0 judgment(s)

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
				Full corpus: 0/6 (of 6)		
AUCTION_DURING_STAY AUCTION_DURING_STAY	0%	40%	18% — Very Weak	Verified: 0/2 (of 2) Full corpus: 0/2 (of 2)	LOW	0 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
PENDING_SA_CONCEALED PENDING_SA_CONCEALED	0%	0%	0% — Very Weak	Verified: 0/6 (of 6) Full corpus: 0/6 (of 6)	MEDIUM	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
REPLY_NOT_GIVEN REPLY_NOT_GIVEN	0%	85%	38% — Weak	Verified: 4/5 (of 9) Full corpus: 4/5 (of 9)	MEDIUM	3 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
	0%	20%	9% — Very Weak		MEDIUM	

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION				Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)		0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full corpus: 1/0 (of 1)	LOW	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
AMOUNT_DISPUTE AMOUNT_DISPUTE	0%	40%	18% — Very Weak	Verified: 1/2 (of 3) Full corpus: 1/2 (of 3)	LOW	1 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
AMOUNT_DISPUTE AMOUNT_DISPUTE	0%	40%	18% — Very Weak	Verified: 1/2 (of 3) Full corpus: 1/2 (of 3)	LOW	1 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
SECOND_SA_FRESH_CAUSE SECOND_SA_FRESH_CAUSE	0%	40%	18% — Very Weak	Verified: 0/1 (of 1) Full corpus: 0/1 (of 1)	LOW	0 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
PENDING_SA_CONCEALED PENDING_SA_CONCEALED	0%	0%	0% — Very Weak	Verified: 0/6 (of 6) Full corpus: 0/6 (of 6)	MEDIUM	0 judgment(s)
AUCTION_DURING_STAY AUCTION_DURING_STAY	0%	40%	18% — Very Weak	Verified: 0/2 (of 2) Full corpus: 0/2 (of 2)	LOW	0 judgment(s)
NOTICE_FORMAT_DEFECT NOTICE_FORMAT_DEFECT	0%	40%	18% — Very Weak	Verified: 0/1 (of 1) Full corpus: 0/1 (of 1)	LOW	0 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
PENDING_SA_CONCEALED PENDING_SA_CONCEALED	0%	0%	0% — Very Weak	Verified: 0/6 (of 6) Full corpus: 0/6 (of 6)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
NPA_PREMATURE NPA_PREMATURE	100%	40%	73% — Moderate	Verified: 1/0 (of 1) Full	LOW	0 judgment(s)

Ground	Factual Score	Judicial Score	Ground Strength	Corpus (B/Bk)	Confidence	Precedent Count
				corpus: 1/0 (of 1)		
AUCTION_GAP_DEFECT AUCTION_GAP_DEFECT	0%	40%	18% — Very Weak	Verified: 3/0 (of 3) Full corpus: 3/0 (of 3)	LOW	1 judgment(s)
AUCTION_PURCHASER AUCTION_PURCHASER	0%	23%	10% — Very Weak	Verified: 4/13 (of 17) Full corpus: 4/13 (of 17)	HIGH	0 judgment(s)
SECOND_SA_FRESH_CAUSE SECOND_SA_FRESH_CAUSE	0%	40%	18% — Very Weak	Verified: 0/1 (of 1) Full corpus: 0/1 (of 1)	LOW	0 judgment(s)
SERVICE_DEFECT SERVICE_DEFECT	0%	14%	6% — Very Weak	Verified: 1/6 (of 7) Full corpus: 1/6 (of 7)	MEDIUM	1 judgment(s)
AUCTION_GAP_DEFECT AUCTION_GAP_DEFECT	0%	40%	18% — Very Weak	Verified: 3/0 (of 3) Full corpus: 3/0 (of 3)	LOW	1 judgment(s)
AUCTION_NOTICE_AFFIXING AUCTION_NOTICE_AFFIXING	100%	85%	93% — Strong	Verified: 2/0 (of 2) Full corpus: 2/0 (of 2)	LOW	1 judgment(s)
RIGHT_OF_REDEMPTION RIGHT_OF_REDEMPTION	0%	20%	9% — Very Weak	Verified: 1/4 (of 5) Full corpus: 1/4 (of 5)	MEDIUM	0 judgment(s)
AUCTION_DURING_STAY AUCTION_DURING_STAY	0%	40%	18% — Very Weak	Verified: 0/2 (of 2) Full corpus: 0/2 (of 2)	LOW	0 judgment(s)

(2023) ibclaw.in 123 DRAT

DRAT | Favour: BANK

The National Company Law Appellate Tribunal (NCLAT) held that the Adjudicating Authority (NCLT) under the Insolvency and Bankruptcy Code, 2016, lacks the jurisdiction to direct a forensic audit or reconciliation of accounts at the pre-admission stage of a Section 7 application. The sole function of the NCLT is to ascertain the existence of a default based on records of the information utility or other evidence produced by the financial creditor, within 14 days. The Tribunal reaffirmed that the pendency of disputes or the borrower's solvency are not valid grounds to refuse admission of a Section 7 application when a default is evident from the creditor's records. The NCLT's direction for reconciliation was held to be beyond its statutory powers and contrary to the summary nature of IBC proceedings. This applies when: the adjudicating authority refuses to admit a Section 7 application by directing reconciliation of accounts instead of deciding on the existence of default.

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

CONFIDENTIAL

2026 INSC 633

SUPREME_COURT | Favour: BORROWER

Rule 9(3) and Rule 9(4) of the Security Interest (Enforcement) Rules, 2002 are mandatory provisions governing the deposit of 25% of the sale price immediately on the date of sale and the payment of the remaining 75% within 15 days of confirmation of sale, or within an extended period agreed upon in writing between the parties. The failure to comply with these timelines, in the absence of a demonstrable written agreement extending the period, renders the auction sale legally invalid and subject to being set aside. The secured creditor cannot unilaterally waive the statutory timeline without mutual written consent. While the provisions are mandatory, they may be waived by the parties for whose benefit they are intended, but such waiver must be evidenced. The sale certificate issued without compliance does not confer finality. This applies when: the balance 75% was paid after the 15-day confirmation period and no written agreement for extension exists between the secured creditor and auction purchaser.

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

2004 SCC (Cri) 1

SUPREME_COURT | Favour: BORROWER

The Supreme Court upheld the constitutional validity of the SARFAESI Act, 2002, including Sections 13 and 34, recognizing the need for a speedy recovery mechanism to address mounting NPAs and serve public interest. However, the Court struck down Section 17(2) as violative of Article 14, holding that the mandatory pre-deposit of 75% of the claimed amount before entertaining an appeal was an unreasonable, arbitrary, and oppressive condition. The Court ruled that while no hearing is required before issuing a Section 13(2) notice, the secured creditor must consider any reply filed by the borrower and communicate the reasons for rejecting the objections. This communication is essential to ensure fairness and transparency, though it does not create a right to challenge the creditor's decision at that stage. This applies when: the borrower has filed a reply to the Section 13(2) notice and the secured creditor has failed to communicate reasons for rejecting the objections, or when the borrower is unable to comply with the 75% pre-deposit requirement under Section 17(2).

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ Applicable — Conditions Verified

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

THIRD_PARTY_ATS — Precedents

2025 INSC 646

SUPREME_COURT | Favour: BANK

A registered sale deed does not confer indefeasible title if it is based on a void or unenforceable transaction such as an unregistered agreement of sale or a GPA sale, especially when the vendor lacked valid title at the time of execution. The Supreme Court reaffirmed the principle from *Suraj Lamp & Industries Pvt. Ltd. v. State of Haryana* that transactions involving "SA/GPA/will" do not amount to legal transfer of immovable property and cannot be recognised as valid modes of conveyance. Such documents do not convey title and are not protected under Section 53-A of the Transfer of Property Act unless supported by a valid underlying transaction. When the vendor itself had no title—having lost it to the State under the Land Reforms Act—the chain of title fails ab initio. Mere registration of a deed does not cure this defect, and the presumption under Section 112 of the Evidence Act is rebuttable. This applies when: third-party purchasers claim title based on unregistered agreements and GPA, and the vendor lacked valid title at the time of sale.

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ Applicable — Conditions Verified

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

SERVICE_DEFECT — Precedents

2017 (2) SCC 538

SUPREME_COURT | Favour: BANK

The SARFAESI Act, 2002 is validly enacted by Parliament under Entries 45 and 95 of List I of the Seventh Schedule to the Constitution of India, which confer exclusive legislative competence over banking and jurisdiction of courts in banking matters. The Act applies to the State of Jammu & Kashmir despite any conflict with local property laws, as Article 246 read with Article 370 ensures that Parliamentary laws on these subjects prevail. Section 140 of the Jammu & Kashmir Transfer of Property Act must give way to SARFAESI, and Rule 8(5) proviso of the SARFAESI Rules explicitly preserves such local restrictions. The Act is thus fully applicable to Jammu & Kashmir, and banks may proceed with enforcement under Section 13. This applies when: the applicability of SARFAESI is challenged in Jammu & Kashmir on grounds of conflict with local property transfer restrictions.

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

SERVICE_DEFECT — Precedents

2017 (2) SCC 538

SUPREME_COURT | Favour: BANK

The SARFAESI Act, 2002 is validly enacted by Parliament under Entries 45 and 95 of List I of the Seventh Schedule to the Constitution of India, which confer exclusive legislative competence over banking and jurisdiction of courts in banking matters. The Act applies to the State of Jammu & Kashmir despite any conflict with local property laws, as Article 246 read with Article 370 ensures that Parliamentary laws on these subjects prevail. Section 140 of the Jammu & Kashmir Transfer of Property Act must give way to SARFAESI, and Rule 8(5) proviso of the SARFAESI Rules explicitly preserves such local restrictions. The Act is thus fully applicable to Jammu & Kashmir, and banks may proceed with enforcement under Section 13. This applies when: the applicability of SARFAESI is challenged in Jammu & Kashmir on grounds of conflict with local property transfer restrictions.

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ Applicable — Conditions Verified

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ Applicable — Conditions Verified

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

AUCTION_GAP_DEFECT — Precedents

2026 INSC 633

SUPREME_COURT | Favour: BORROWER

Rule 9(3) and Rule 9(4) of the Security Interest (Enforcement) Rules, 2002 are mandatory provisions governing the deposit of 25% of the sale price immediately on the date of sale and the payment of the remaining 75% within 15 days of confirmation of sale, or within an extended period agreed upon in writing between the parties. The failure to comply with these timelines, in the absence of a demonstrable written agreement extending the period, renders the auction sale legally invalid and subject to being set aside. The secured creditor cannot unilaterally waive the statutory timeline without mutual written consent. While the provisions are mandatory, they may be waived by the parties for whose benefit they are intended, but such waiver must be evidenced. The sale certificate issued without compliance does not confer finality. This applies when: the balance 75% was paid after the 15-day confirmation period and no written agreement for extension exists between the secured creditor and auction purchaser.

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

AUCTION_GAP_DEFECT — Precedents

2026 INSC 633

SUPREME_COURT | Favour: BORROWER

Rule 9(3) and Rule 9(4) of the Security Interest (Enforcement) Rules, 2002 are mandatory provisions governing the deposit of 25% of the sale price immediately on the date of sale and the payment of the remaining 75% within 15 days of confirmation of sale, or within an extended period agreed upon in writing between the parties. The failure to comply with these timelines, in the absence of a demonstrable written agreement extending the period, renders the auction sale legally invalid and subject to being set aside. The secured creditor cannot unilaterally waive the statutory timeline without mutual written consent. While the provisions are mandatory, they may be waived by the parties for whose benefit they are intended, but such waiver must be evidenced. The sale certificate issued without compliance does not confer finality. This applies when: the balance 75% was paid after the 15-day confirmation period and no written agreement for extension exists between the secured creditor and auction purchaser.

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ Applicable — Conditions Verified

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

SERVICE_DEFECT — Precedents

2017 (2) SCC 538

SUPREME_COURT | Favour: BANK

The SARFAESI Act, 2002 is validly enacted by Parliament under Entries 45 and 95 of List I of the Seventh Schedule to the Constitution of India, which confer exclusive legislative competence over banking and jurisdiction of courts in banking matters. The Act applies to the State of Jammu & Kashmir despite any conflict with local property laws, as Article 246 read with Article 370 ensures that Parliamentary laws on these subjects prevail. Section 140 of the Jammu & Kashmir Transfer of Property Act must give way to SARFAESI, and Rule 8(5) proviso of the SARFAESI Rules explicitly preserves such local restrictions. The Act is thus fully applicable to Jammu & Kashmir, and banks may proceed with enforcement under Section 13. This applies when: the applicability of SARFAESI is challenged in Jammu & Kashmir on grounds of conflict with local property transfer restrictions.

▲ Similarity Retrieved — Conditions NOT Verified

No verified conditions. Included as potentially relevant.

AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ Applicable — Conditions Verified

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ Applicable — Conditions Verified

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

2026 INSC 633

SUPREME_COURT | Favour: BORROWER

Rule 9(3) and Rule 9(4) of the Security Interest (Enforcement) Rules, 2002 are mandatory provisions governing the deposit of 25% of the sale price immediately on the date of sale and the payment of the remaining 75% within 15 days of confirmation of sale, or within an extended period agreed upon in writing between the parties. The failure to comply with these timelines, in the absence of a demonstrable written agreement extending the period, renders the auction sale legally invalid and subject to being set aside. The secured creditor cannot unilaterally waive the statutory timeline without mutual written consent. While the provisions are mandatory, they may be waived by the parties for whose benefit they are intended, but such waiver must be evidenced. The sale certificate issued without compliance does not confer finality. This applies when: the balance 75% was paid after the 15-day confirmation period and no written agreement for extension exists between the secured creditor and auction purchaser.

▲ **Similarity Retrieved — Conditions NOT Verified**

No verified conditions. Included as potentially relevant.

2004 SCC (Cri) 1

SUPREME_COURT | Favour: BORROWER

The Supreme Court upheld the constitutional validity of the SARFAESI Act, 2002, including Sections 13 and 34, recognizing the need for a speedy recovery mechanism to address mounting NPAs and serve public interest. However, the Court struck down Section 17(2) as violative of Article 14, holding that the mandatory pre-deposit of 75% of the claimed amount before entertaining an appeal was an unreasonable, arbitrary, and oppressive condition. The Court ruled that while no hearing is required before issuing a Section 13(2) notice, the secured creditor must consider any reply filed by the borrower and communicate the reasons for rejecting the objections. This communication is essential to ensure fairness and transparency, though it does not create a right to challenge the creditor's decision at that stage. This applies when: the borrower has filed a reply to the Section 13(2) notice and the secured creditor has failed to communicate reasons for rejecting the objections, or when the borrower is unable to comply with the 75% pre-deposit requirement under Section 17(2).

▲ **Similarity Retrieved — Conditions NOT Verified**

No verified conditions. Included as potentially relevant.

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ **Applicable — Conditions Verified**

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

AMOUNT_DISPUTE — Precedents

(2023) ibclaw.in 123 DRAT

DRAT | Favour: BANK

The National Company Law Appellate Tribunal (NCLAT) held that the Adjudicating Authority (NCLT) under the Insolvency and Bankruptcy Code, 2016, lacks the jurisdiction to direct a forensic audit or reconciliation of accounts at the pre-admission stage of a Section 7 application. The sole function of the NCLT is to ascertain the existence of a default based on records of the information utility or other evidence produced by the financial creditor, within 14 days. The Tribunal reaffirmed that the pendency of disputes or the borrower's solvency are not valid grounds to refuse admission of a Section 7 application when a default is evident from the creditor's records. The NCLT's direction for reconciliation was held to be beyond its statutory powers and contrary to the summary nature of IBC proceedings. This applies when: the adjudicating authority refuses to admit a Section 7 application by directing reconciliation of accounts instead of deciding on the existence of default.

▲ **Similarity Retrieved — Conditions NOT Verified**

No verified conditions. Included as potentially relevant.

AMOUNT_DISPUTE — Precedents

(2023) ibclaw.in 123 DRAT

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The National Company Law Appellate Tribunal (NCLAT) held that the Adjudicating Authority (NCLT) under the Insolvency and Bankruptcy Code, 2016, lacks the jurisdiction to direct a forensic audit or reconciliation of accounts at the pre-admission stage of a Section 7 application. The sole function of the NCLT is to ascertain the existence of a default based on records of the information utility or other evidence produced by the financial creditor, within 14 days. The Tribunal reaffirmed that the pendency of disputes or the borrower's solvency are not valid grounds to refuse admission of a Section 7 application when a default is evident from the creditor's records. The NCLT's direction for reconciliation was held to be beyond its statutory powers and contrary to the summary nature of IBC proceedings. This applies when: the adjudicating authority refuses to admit a Section 7 application by directing reconciliation of accounts instead of deciding on the existence of default.

▲ **Similarity Retrieved — Conditions NOT Verified**

No verified conditions. Included as potentially relevant.

AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ **Applicable — Conditions Verified**

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ **Applicable — Conditions Verified**

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

AUCTION_GAP_DEFECT — Precedents

2026 INSC 633

SUPREME_COURT | Favour: BORROWER

Rule 9(3) and Rule 9(4) of the Security Interest (Enforcement) Rules, 2002 are mandatory provisions governing the deposit of 25% of the sale price immediately on the date of sale and the payment of the remaining 75% within 15 days of confirmation of sale, or within an extended period agreed upon in writing between the parties. The failure to comply with these timelines, in the absence of a demonstrable written agreement extending the period, renders the auction sale legally invalid and subject to being set aside. The secured creditor cannot unilaterally waive the statutory timeline without mutual written consent. While the provisions are mandatory, they may be waived by the parties for whose benefit they are intended, but such waiver must be evidenced. The sale certificate issued without compliance does not confer finality. This applies when: the balance 75% was paid after the 15-day confirmation period and no written agreement for extension exists between the secured creditor and auction purchaser.

▲ **Similarity Retrieved — Conditions NOT Verified**

No verified conditions. Included as potentially relevant.

SERVICE_DEFECT — Precedents

2017 (2) SCC 538

SUPREME_COURT | Favour: BANK

The SARFAESI Act, 2002 is validly enacted by Parliament under Entries 45 and 95 of List I of the Seventh Schedule to the Constitution of India, which confer exclusive legislative competence over banking and jurisdiction of courts in banking matters. The Act applies to the State of Jammu & Kashmir despite any conflict with local property laws, as Article 246 read with Article 370 ensures that Parliamentary laws on these subjects prevail. Section 140 of the Jammu & Kashmir Transfer of Property Act must give way to SARFAESI, and Rule 8(5) proviso of the SARFAESI Rules explicitly preserves such local restrictions. The Act is thus fully applicable to Jammu & Kashmir, and banks may proceed with enforcement under Section 13. This applies when: the applicability of SARFAESI is challenged in Jammu & Kashmir on grounds of conflict with local property transfer restrictions.

▲ **Similarity Retrieved — Conditions NOT Verified**

No verified conditions. Included as potentially relevant.

AUCTION_GAP_DEFECT — Precedents

2026 INSC 633

SUPREME_COURT | Favour: BORROWER

Rule 9(3) and Rule 9(4) of the Security Interest (Enforcement) Rules, 2002 are mandatory provisions governing the deposit of 25% of the sale price immediately on the date of sale and the payment of the remaining 75% within 15 days of confirmation of sale, or within an extended period agreed upon in writing between the parties. The failure to comply with these timelines, in the absence of a demonstrable written agreement extending the period, renders the auction sale legally invalid and subject to being set aside. The secured creditor cannot unilaterally waive the statutory timeline without mutual written consent. While the provisions are mandatory, they may be waived by the parties for whose benefit they are intended, but such waiver must be evidenced. The sale certificate issued without compliance does not confer finality. This applies when: the balance 75% was paid after the 15-day confirmation period and no written agreement for extension exists between the secured creditor and auction purchaser.

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AUCTION_NOTICE_AFFIXING — Precedents

2024 INSC 326

SUPREME_COURT | Favour: BORROWER

Rule 8(6) and Rule 8(7) of the Security Interest (Enforcement) Rules, 2002 prescribe mandatory procedural requirements for the conduct of an auction under SARFAESI, including the obligation to serve a 30-day prior notice to the borrower and to affix the auction notice on the secured immovable property. The Supreme Court held that non-compliance with these mandatory provisions invalidates the auction sale, even if the auction purchaser was in possession and had invested in the property. The bank's own admission of non-compliance before the DRT was sufficient to justify setting aside the sale. While the sale was quashed, the Court modified the DRT's direction by holding that the auction purchaser, being a former tenant, need not physically vacate the property, but their ownership status reverted to tenancy. The bank was directed to refund the auction amount with 12% compound interest from the date of deposit. This applies when: the bank failed to serve notice under Rule 8(6) or affix notice under Rule 8(7) before conducting the auction.

✓ Applicable — Conditions Verified

The bank failed to affix the auction notice on the secured property and did not serve notice to all parties, satisfying the conditions for applicability.

Disclaimer: This report is generated by an AI-assisted legal analysis platform and is intended solely for internal use by the bank's legal and recovery teams. It does not constitute legal advice. All recommendations must be reviewed by qualified legal counsel before any enforcement action is initiated. The platform's analysis is based on the facts extracted from the uploaded documents and the judgment corpus as of the report date. Judgments and statutes may have been modified, overruled, or distinguished since the corpus was last updated. Verify all citations independently.